The decision

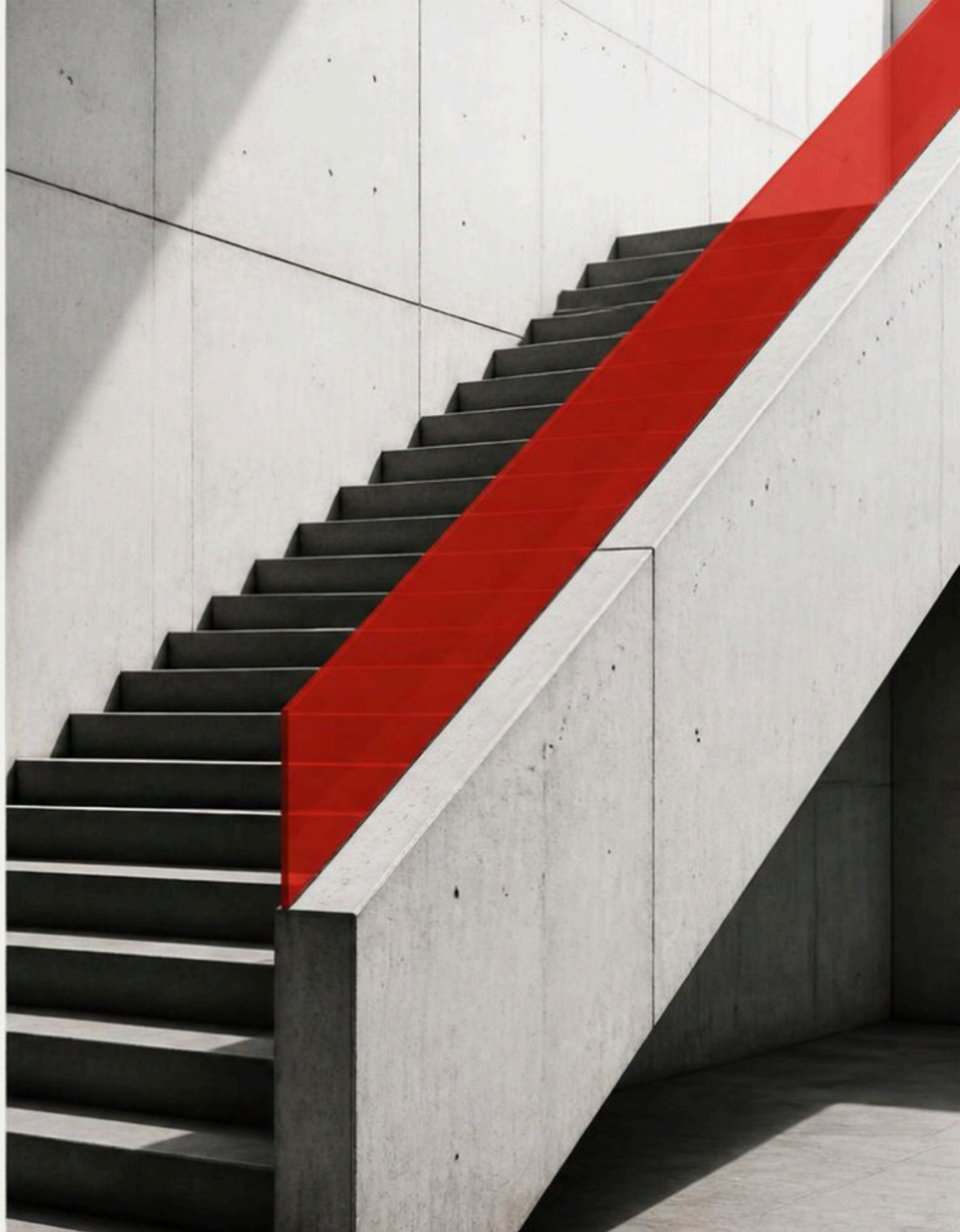
Adopt segmented risk-based origination guardrails

Pricing alone does not compensate for extreme default risk

Prioritize loan-to-income, grade, priordefault, and loan-intent signals

Focus guardrails on the drivers of default, not price

Credit risk brief | source: CreditRisk&FinancialPerformance report



The portfolio has a measurable risk boundary

32,581 loans analyzed

17.63% historical default-on-file rate:
5,745 borrowers

Default risk rises sharply beyond

21.95%
at 20%-30%
loan-to-income

→

70.32%
above 30%
loan-to-income

Set

30%

as the hard guardrail or mandatory exception trigger

Credit risk brief | source: CreditRisk&FinancialPerformance report

Extreme grades break the pricing model

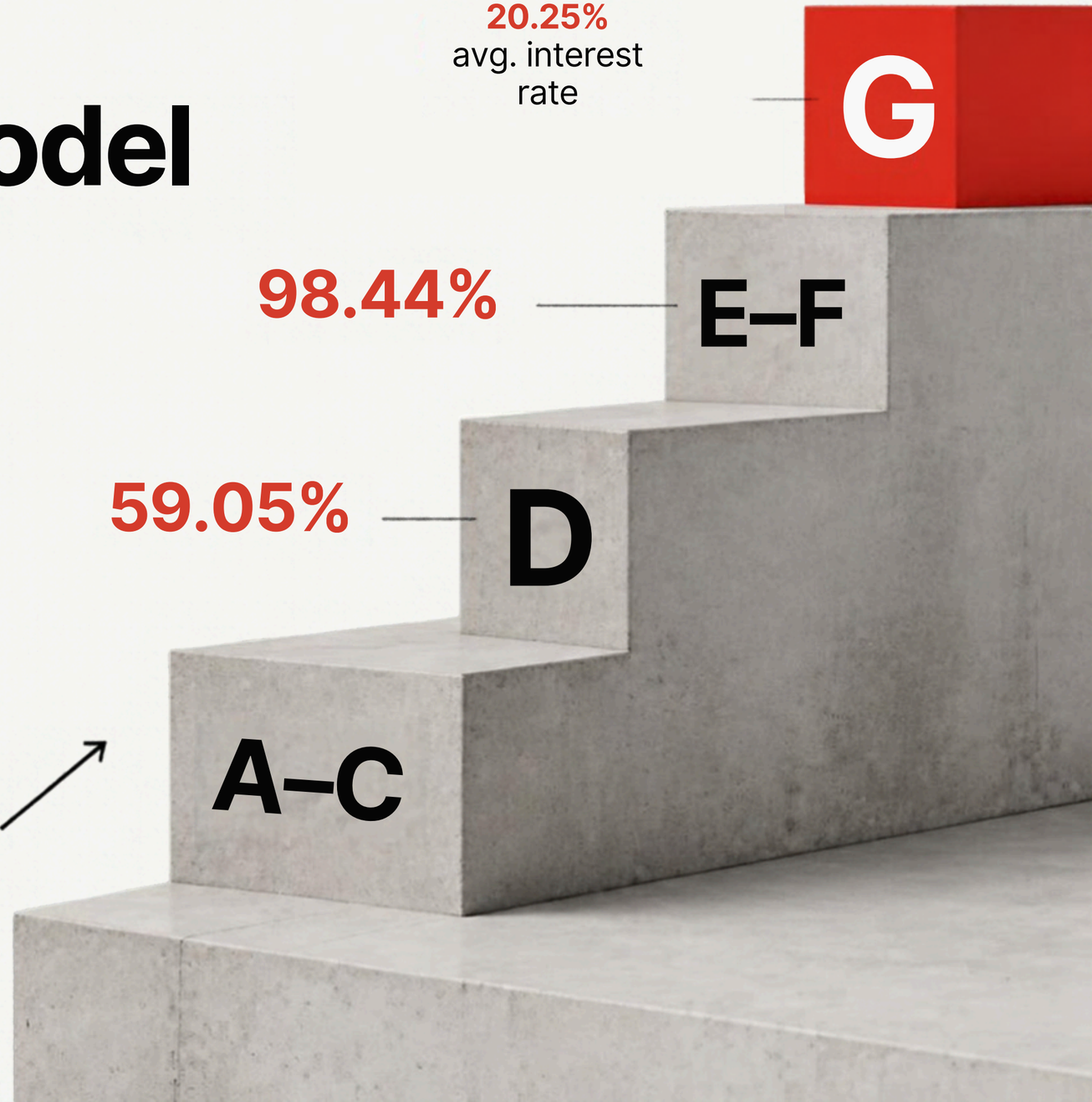
Risk accelerates at the extremes — rates no longer cover losses.

Grade D default rate: **59.05%**

Grade G default rate: **98.44%**

Grade G average interest rate: **20.25%**

Tighten or decline G.
Re-underwrite D–F.



Credit risk brief | source: CreditRisk&FinancialPerformance report

Risk clusters in identifiable borrower segments

37.81%

prior defaulters

vs. 18.39%
for clean files

28.59%

debt consolidation

26.70%

medical

31.57%

renters

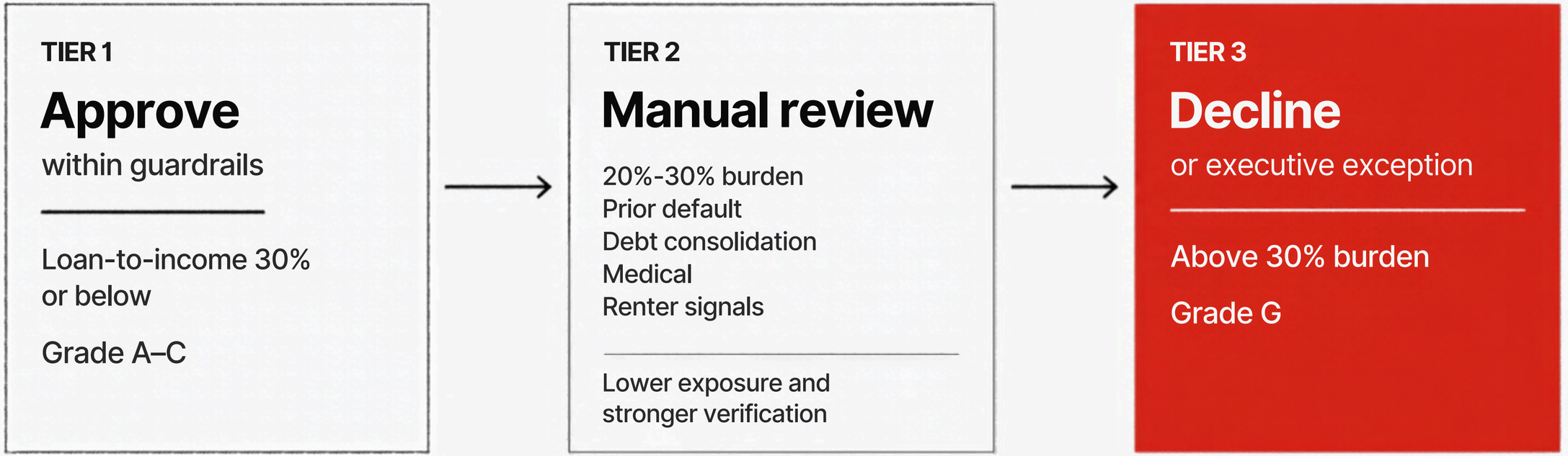
vs. 7.47%
for outright owners



Use housing status as a secondary verification signal—not a standalone decline rule

Recommended operating model

Target origination policy



Reprice only after expected-loss and fairness review. Do not use price as the sole control.

90-day implementation plan and KPIs

0–30 days

Implement threshold flags, exception queue, and grade G policy review

31–60 days

Pilot segmented limits, verification, and revised pricing on new origins

61–90 days

Monitor vintage default, approval rate, yield, exception rate, and fair-lending indicators

SUCCESS TEST

Reduce high-risk approvals without materially degrading qualified customer access.

